



The Directors of *Umeme Limited* are pleased to announce the *audited financial results* of the Company, for the year ended *31 December 2012*



Patrick Bitature
Board Chairman, Umeme Limited

Dear Shareholders,

Umeme has grown in strength and stature since the Company was awarded the Concession in 2005. In 2012 we marked a major milestone in completing the first regulatory review. I am pleased to announce that we achieved all our original targets and have agreed new tariff parameters through to 2018. As a distribution company, Umeme has registered significant contributions to the sector through:

- reduction of energy losses from over 38% at the commencement of the Concession in 2005 to 26% in 2012;
- increasing customer connections that have doubled to over 513,000 over the period of the Concession;
- the quantity of electricity sales has increased from 1,015 Gwh in 2005 to 1,937 GWh in 2012;
- revenue collections have improved from 80% in 2005 to over 94% in 2012; and
- Umeme has invested US\$166 million over the last eight years in revamping and expanding the distribution system, information technology and other assets.

These successes have contributed to the stability of the sector and the overall economic development of the country. Thanks to the enabling environment provided by the Government of Uganda, the landmark 250MW Bujagali hydroelectric power plant, together with several other generation plants in the country, were commissioned in 2012.

Financial Results

The Directors are pleased to report that Umeme returned excellent results for the year ended 31 December 2012.

- Earnings before tax, depreciation, interest and amortisation (EBITDA) at Ushs. 130 billion compared to Ushs. 104 billion 2011
- Profit before tax growth from Ushs. 44 billion in 2011 to Ushs. 61 billion in 2012.
- Profit after tax of Ushs. 57 billion (2011: Ushs. 23 billion).

The total assets of the Company grew by 35% from Ushs. 559 billion as at 31 December 2011 to Ushs. 756 billion as at 31 December 2012.

Capital Expenditure

The capital expenditure of the Company in 2012 was Ushs. 98 billion (2011: Ushs. 69 billion), which was fully funded using internally generated funds. Continued investment in the network infrastructure and technical solutions is the bedrock of enhancing our ability to distribute power to meet the ever increasing demand, while improving on supply reliability and achieving the regulatory targets.

After the Initial Public Offer, the Company repaid the entire Umeme Holdings Limited loans of Ushs. 75 billion (US\$ 28 million). The IFC loan of US\$ 20 million is the only debt on the Company's books. With the improved balance sheet, the Company can now source additional low cost funds to finance its forthcoming capital programme.

Customer Service

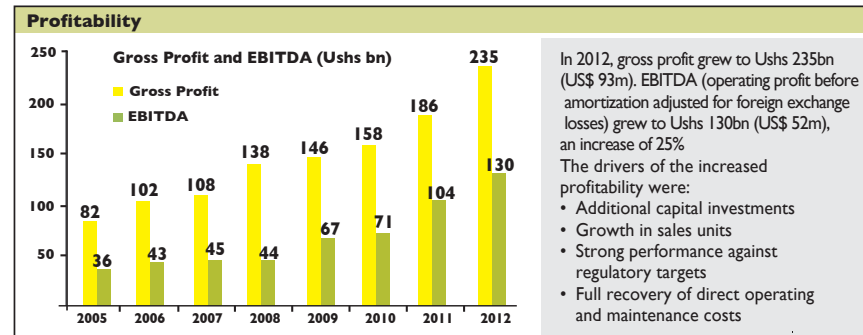
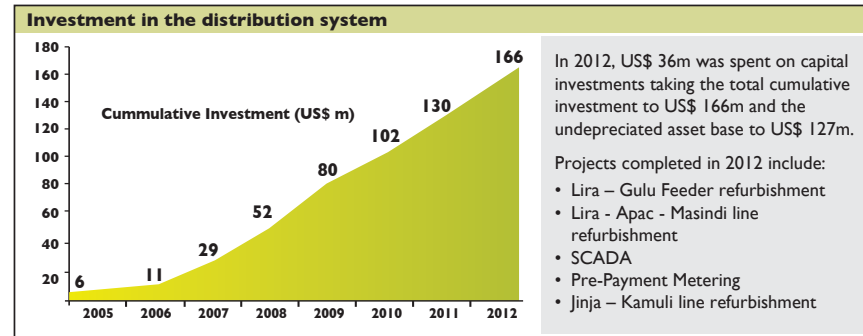
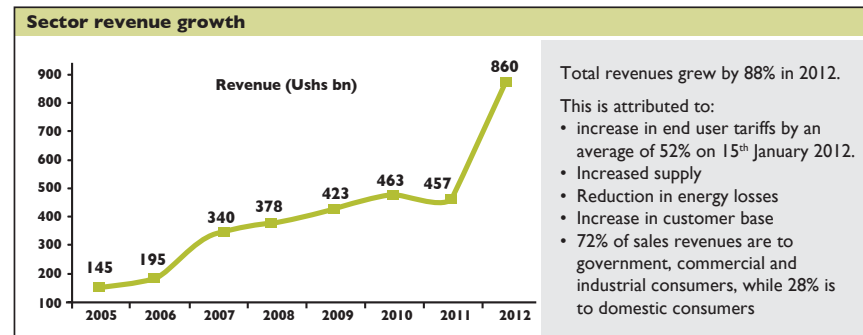
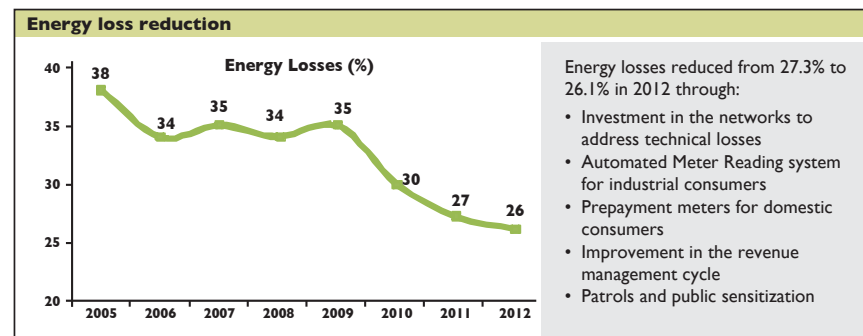
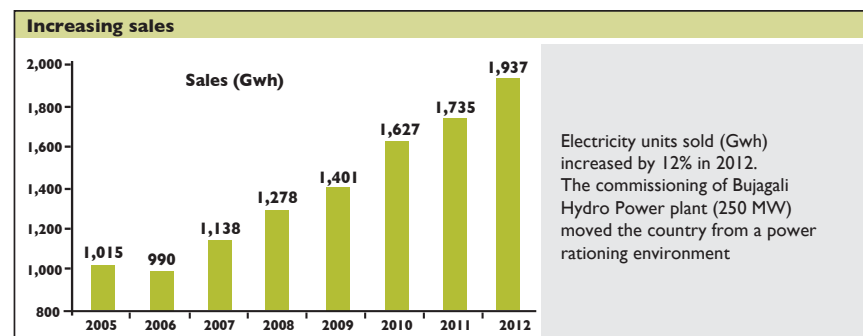
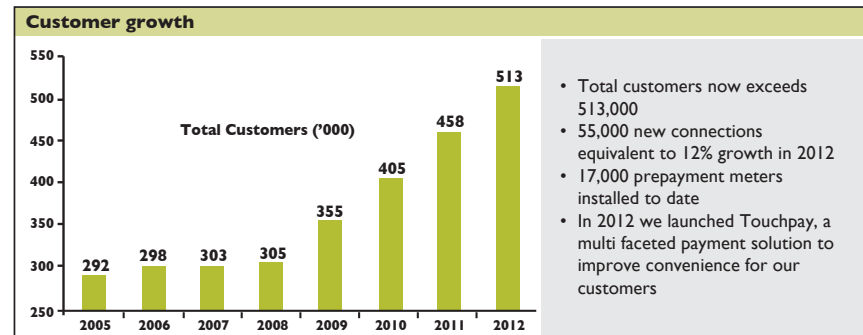
To enhance the customer experience we invested in technologies such as prepayment metering, mobile money payment options, SMS platform, eBilling and additional 3rd party collection agencies. Notwithstanding the progress made during the year, a number of customers were affected by power outages. We are investing to improve the quality of supply and we commenced the construction of two new substations in 2012.

Appreciation

The Directors take this opportunity to thank the Government of Uganda, customers, shareholders, stakeholders and business partners, for their support of Umeme and the Uganda electricity sector. I would also like to make a special mention of gratitude to the Management and Staff for their hard work during the year.

On behalf of the Board

Patrick Bitature
Chairman
25 March 2013



Summarised Financial Statements For The Year Ended 31 December 2012

STATEMENT OF COMPREHENSIVE INCOME		
	2012 Ushs million	2011 Ushs million
Revenue	859,552	457,063
Cost of sales	(624,235)	(270,629)
GROSS PROFIT	235,317	186,434
Other operating income	4,980	15,306
Finance income	15,032	16,029
	255,329	217,769
Repair and maintenance expenses	(18,059)	(16,767)
Administration expenses	(105,363)	(95,342)
Foreign exchange losses	(13,441)	(5,912)
Other expenses	(2,243)	(2,092)
Operating Profit before Amortisation	116,223	97,656
Amortisation of intangible assets	(22,248)	(21,540)
Operating Profit	93,975	76,116
Finance costs	(33,054)	(31,500)
Profit Before Tax	60,921	44,616
Income tax expense	(3,811)	(21,607)
Profit for the year	57,110	23,009
	2,012	2,011
	Ushs	Ushs
Basic and Diluted Earnings Per Share	42	17

STATEMENT OF FINANCIAL POSITION		
	2012 Ushs million	2011 Ushs million
ASSETS		
NON CURRENT ASSETS		
Intangible assets	279,683	204,870
Concession arrangement financial asset: Non-current portion	152,936	141,968
	432,619	346,838
CURRENT ASSETS		
Concession arrangement financial asset: Current portion	43,892	28,567
Inventories	36,460	27,485
Amount recoverable from customer capital contributions	723	9,987
Trade and other receivables	188,256	96,640
Current income tax recoverable	3,323	
Bank balances	50,660	49,732
	323,314	212,411
TOTAL ASSETS	755,933	559,249
EQUITY AND LIABILITIES		
EQUITY		
Issued capital	27,748	22,870
Share premium	70,292	-
Retained earnings	141,407	84,297
	239,447	107,167
NON-CURRENT LIABILITIES		
Shareholder's loan: Non-current portion	-	55,414
IFC Loan: Non-current portion	47,093	49,960
Concession obligation: Non-current portion	152,936	141,968
Deferred income tax liability	12,100	8,289
	212,129	255,631
CURRENT LIABILITIES		
Shareholder's loan: Current portion		15,549
IFC loan: Current portion	7,768	7,289
Concession obligation: Current portion	43,892	28,567
Customer security deposits	3,688	2,443
Deferred construction income	4,270	16,198
Trade and other payables	244,739	117,728
Current income tax payable		8,677
	304,357	196,451
TOTAL EQUITY AND LIABILITIES	755,933	559,249

STATEMENT OF CASH FLOWS		
	2012 Ushs million	2011 Ushs million
Net cash flows from operating activities	106,696	57,669
Investing activities		
Purchase of intangible assets	(98,074)	(68,518)
Proceeds from sale of motor vehicles	166	269
Recovery of concession arrangement financial asset	-	27,295
Payment of concession obligation : financing costs	-	(14,544)
Payment of concession obligation : principle	-	(27,295)
Net cash flows used in investing activities	(97,908)	(82,793)
Financing activities		
Net proceeds from issue of shares (less shares granted to employees)	71,568	-
Repayment of shareholder's loans	(74,670)	-
Repayment of IFC loan	(6,004)	(6,057)
Proceeds from IFC loan	-	23,660
Net cash flows (used in)/from financing activities	(9,106)	17,603
Net decrease in cash and cash equivalents	(318)	(7,521)
Cash and cash equivalents at 1 January	47,289	54,810
Cash and cash equivalents at 31 December	46,971	47,289

STATEMENT OF CHANGES IN EQUITY				
	Issued capital Ushs million	Share premium Ushs million	Retained earnings Ushs million	Total equity Ushs million
At 1 January 2011	22,870	-	61,288	84,158
Profit for the year	-	-	23,009	23,009
Other comprehensive income, net of tax	-	-	-	-
Total comprehensive income, net of tax			23,009	23,009
At 31 December 2011	22,870	-	84,297	107,168
At 1 January 2012	22,870	-	84,297	107,168
Profit for the year			57,110	57,110
Other comprehensive income, net of tax			-	-
Total comprehensive income, net of tax			57,110	57,110
Issue of shares: public	4,235	63,928		68,163
Issue of shares: directors and employees	419	6,322		6,741
Issue of shares: employee share grant scheme	224	3,379		3,603
Share issue costs		(3,336)		(3,336)
At 31 December 2012	27,748	70,292	141,407	239,447

Dividend

The Directors have resolved to recommend to members for declaration at the forthcoming Annual General Meeting a final dividend for the year 2012 of Ushs. 24.4 billion (Ushs. 15 per share) to be paid on or about 24 June 2013, to shareholders registered at close of business on 24 May 2013. The books closure date for purposes of dividend payment will be 24 May 2013.

Message from the Directors

The above financial statements are extracts from the Company's financial statements which were audited by Ernst & Young, who issued an unqualified opinion.

The financial statements were approved by the Board of Directors on 21 March 2013, and were signed on its behalf by:

Chairman

Managing Director

For customer service inquiries call **0800 185185** (Toll free), **0312 185185** or **0752 185185** or email **info@umeme.co.ug** website: **www.umeme.co.ug**

find us on Umeme limited @umemelimited